

The Department of Agriculture, Fisheries and Forestry manages the United States (US) export dairy tariff rate quotas, which were put in place by the Australia–US Free Trade Agreement (FTA) and the World Trade Organization (WTO).

Most of the dairy quotas are issued on a first-come, first-served (FCFS) basis, except for US FTA Butter and US FTA Cheddar which are administered via an allocation system. The quotas are available to Australian companies that wish to export dairy products to the US. Australian exporters can export specific quantities of eligible products to the US at reduced or zero tariff rates through these quotas.

The quota period runs in line with the calendar year and eligible exporters will be invited to apply for an allocation of FTA Butter or FTA Cheddar quota in November for use in the following quota year.

Key dates to remember

- 1 January—New quota year begins.
- 16 August—Last day for exporters to advise whether they will return or retain quota entitlements, and/or whether they wish to apply for additional entitlement (allocated quotas only).
- 30 November—Deadline for exporters to apply for quota entitlements for the next quota year (allocated quotas only).
- Early December—Exporters notified of their quota entitlements for the next quota year (allocated quotas); Department begins accepting applications for quota certificates for the next quota year.
- 31 December—Quota year ends.

The [Dairy export quota TRQ categories table](#) lists the quota categories available under the AUSFTA and WTO arrangements. The tables show the annual increase in available tonnage for these quotas (AUSFTA quotas only; annual increases are not available under the WTO arrangements).

The quota usage report shows the total quantity of quota available and shipped by Australia for all dairy quotas. It can be found at the below link under the heading "EU, UK and US 2022 dairy quota position".

Each November dairy exporters are invited to apply for an allocation of US FTA Butter and US FTA Cheddar quotas for the upcoming quota year. An application must be made to the department's Quota Unit on the relevant approved form before the deadline of 30 November. The application form will be made available to eligible exporters when requests are being accepted.

The amount of quota to be allocated to each exporter is calculated based on past shipping history, and penalties where applicable. After calculations are complete, exporters will be notified of their dairy quota allocation/s for the next quota year.

All TRQs must provide a pathway for new entrants to enter the market and establish themselves in that market. For the dairy TRQs operating under the first come, first served system any exporter can ship any time, therefore a new entrant can enter that market unimpeded by TRQ administration. Allocated TRQs have a predetermined formula to give quota to those exporters that have a shipping history under the TRQ. This impedes the ability of new entrants to access those markets. A separate pathway is therefore included for allocated TRQs to provide new entrant access.

For US FTA Cheddar Cheese and FTA Butter an amount has been set aside for each TRQ for access by new entrants. The new entrant amount can be accessed by any exporter that has not received an allocation of the relevant TRQ in the previous three years and meets the eligibility criteria (please refer to section 28 of the Rules, below, to determine eligibility). Exporters are considered new entrants for a period of 3 years, to enable them to develop the shipping history necessary to then receive a standard allocation.

The US FTA Cheddar Cheese quota has a new entrant access amount of 80 tonnes across all new entrants. Individual new entrants are capped at accessing up to 40 tonnes in a quota year.

Similarly, the US FTA Butter quota has a new entrant access amount of 80 tonnes across all new entrants. Individual new entrants are capped at accessing up to 40 tonnes in a quota year.

The new entrant amount is accessible on a first-come, first-served basis from the start of the quota year until the reclamation day (16 August). New entrants can receive an entitlement of quota from reclamation day to access for the remainder of the quota year (invitations to apply will be sent ahead of reclamation day).

How to access new entrant quota

Exporters interested in accessing new entrant quota can check the volume currently available under the 'Current quota usage' tab, above.

An exporter cannot be a new entrant if they are an associated entity (within the meaning of the Corporations Act 2001) of any person who has been allocated an entitlement for the relevant TRQ in the previous 3 years or has used new entrant access quota for the TRQ in the previous 2 years.

Interested exporters must complete the [New Entrant Declaration form](#) and provide it to the [Quota Unit](#) to confirm their eligibility each year.

Reallocation

On 16 August a reclaim and reallocation process takes place to aid in making FTA Butter and FTA Cheddar Cheese quota available to those exporters that intend to use it in the remainder of the quota year.

As part of this process, any new entrants that have accessed new entrant quota during the quota year can apply to receive an allocation for use in the remainder of the year.

- An application is made by completing the required form and returning it to the department by 16 August.
- New entrants are limited in applying for an amount no larger than the amount of new entrant they had used so far in the quota year, and still capped at accessing no more than 40 tonnes.
 - For example, an exporter that had used 10 tonnes of new entrant quota could apply for an allocation of up to 10 tonnes; an exporter that had used 25 tonnes could apply for a maximum of 15 tonnes to take them to the 40 tonne cap.

- The amount accessible across all new entrants for each quota is still limited to the 80 tonnes access amount.

Following the reallocation processes for new entrants and standard quota holders, any amount of quota unallocated becomes uncommitted quota, available on a first come first served basis. Any exporter, including new entrants, can access this quota by applying for a certificate. The new entrant cap does not apply when accessing uncommitted quota.

To apply for a quota certificate, an exporter must:

- for prescribed dairy products, lodge a request for export (REX) through NEXDOC, the department's dairy electronic documentation system.
- for non-prescribed dairy products, fill out the [Non Prescribed Dairy Quota Application form](#).

If the product is a prescribed good, when the REX has gone to 'complete' status in NEXDOC the data will go through to the Quota Unit on the next business day. When the application is approved, the Quota Unit will send an eCert directly to US Customs and a certificate to the exporter. If the product is a non-prescribed good, the Quota Unit will generate a manual certificate based on the details in the 'Non Prescribed Dairy Quota Application form'. The eCert will be sent to US Customs and a certificate will be sent to the exporter.

If the export consignment is altered in any way, exporters must notify the Quota Unit as the quota certificate may need to be altered to reflect this. Some information cannot be altered once the eCert has been accepted by US Customs. Contact the Quota Unit to find out if a certificate can be amended or will need to be cancelled and reissued.

Note: Quota administration is cost recovered on a per certificate basis in accordance with the Export Charges (Imposition-General) Regulation 2021 and the Export Control (Fees and Payments) Rules 2021. Exporters are invoiced monthly for any quota certificates issued. The current cost recovered amount is \$42 per prescribed good certificate issued and \$86 per non-prescribed good certificate issued.

The information in this spreadsheet can be used by exporters of dairy products to the US to help them determine if their product is eligible to access US FTA dairy quota.

By the end of 16 August exporters must advise whether they will return or retain unused quota entitlements, and/or whether they wish to apply for additional entitlement. Exporters with quota entitlements will receive a notice from the Quota Unit ahead of the deadline. Any failure to provide this advice will result in remaining entitlements being cancelled. Exporters wishing to apply for an entitlement can complete an application form (the form will be made available when requests are being accepted).

Following this process, any unallocated quota will be made available to all exporters on a first come first served basis.

Dairy entitlements can be voluntarily returned at any point in the quota year. Entitlements can also be transferred to other exporters at any time on or before 16 August. To request a return or transfer, exporters must use the downloadable forms:

[These tables](#) show how the US FTA dairy quotas have filled in previous years. [These tables](#) show how the US WTO dairy quotas have filled in previous years.

The US dairy TRQs are governed by the [Export Control \(Tariff Rate Quotas-General\) Rules 2021](#). These rules outline how to apply for quota, how quota entitlements are calculated (for applicable quotas) and how certificates are issued. Exporters should be familiar with the elements relevant to US dairy quotas.

The Quota Unit collects and manages the data presented on this website for commercial and government use. The data comes from the RFPs received by the department.

Contact us

For queries or assistance with the US beef quotas, contact the Quota Unit:

Phone: 02 6272 4068

Email: quota.admin@aff.gov.au

Source: <https://www.agriculture.gov.au/biosecurity-trade/export/from-australia/quota/us-quotas/us-dairy-quotas>